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Understanding China's Belt & Road Initiative: Motivation, framework and assessment☆

Yiping Huang

National School of Development, Peking University, No. 5 Yiheyuan Road, Haidian District, Beijing 100871 China

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ABSTRACT

The Belt & Road Initiative is China's greatest international economic ambition, aiming at stimulating economic development in a vast region covering sub regions in Asia, Europe and Africa, which accounts for 64% of world population and 30% of world GDP. The Initiative is devised to reconfigure China's external sector in order to continue its strong growth. While infrastructure development plays a central role, the Belt & Road Initiative is a comprehensive one, including also policy dialogue, unimpeded trade, financial support and people-to-people exchange. It is too early to assess the impact of this ambitious Initiative. It certainly has the potential of turning the underdeveloped "Belt & Road" region into a new vibrant economic pillar and contributing to economic policy thinking by incorporating successful experiences of emerging market economies. However, the Initiative also faces very high barriers, including lack of central coordination mechanism, potential clash of different political regimes and beliefs and financial viability of cross-border projects.

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1. Introduction

In September 2013, during his visit to Kazakhstan, Chinese President Xi Jinping called for establishment of a new regional cooperation model, by jointly building the "Silk Road Economic Belt". One month later, in Indonesia, President Xi again called for creation of the Asian Infrastructure Development Bank (AIIB) and construction of the "21st Century Maritime Silk Road". These proposals are officially termed as the "One Belt & One Road Initiative" (OBOR) or the "Belt & Road Initiative" (BRI). In November 2013, this Initiative was written into the comprehensive reform blueprint adopted by the Party leadership as a key policy priority before 2020 (Central Committee of the Communist Party of China, Central Committee, 2013). In March 2015, with approval by the State Council, several government departments jointly laid out detailed plans for the Belt & Road Initiative (National Development and Reform Commission, NDRC and Foreign Ministry and Ministry of Commerce, with approval by the State Council, 2015).

The international community's take on this Initiative is quite mixed. Some compare it with the America's Marshall Plan in the aftermath of the Second World War, while others view it more as a mechanism for international economic cooperation, not international aid. Some regard it as evidence of the Chinese ambition to eventually replace the America-led international economic architecture, through exporting the so-called "China model", while others see room for cooperation between the Chinese initiative and the existing system. Furthermore, many countries in the Belt & Road region welcome the Chinese effort to promote regional

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E-mail address: yhuang@nsd.pku.edu.cn.

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cooperation and development, but some also worry about potential negative consequences for their domestic economies if China starts to export its massive excess capacity, especially in steel, nonferrous metal, building materials, coal and shipbuilding.

What exactly is the Belt & Road Initiative? Why does China formulate this Initiative now? What is the Chinese policymakers' true intention? Will this new Initiative supplement or compete with the existing economic order? And, what are the likely consequences for the Chinese and the world economies? In this article, we attempt to provide answers to these questions.

Our main arguments may be summarized into four key points. First, the Belt & and Road Initiative is an important attempt by China to sustain its economic growth, by exploring new forms of international economic cooperation with new partners. During the first three decades of economic reform, China achieved very rapid economic growth, benefiting from dramatic expansion of exports to and foreign direct investment (FDI) from the developed economies. With growth moderating continuously during the past five years, China's development pattern appears to have reached a bottleneck. The Belt & Road Initiative could enable China to look westward for new economic opportunities, support economic growth in the next phase of development.

Second, through the Belt & Road Initiative, China also intends to assert greater international influence and contribute to the international economic architecture, by incorporating some of its own experiences. As an emerging power, China has shown willingness in taking greater responsibilities in international economic governance. However, reform of the international organizations has been slow and difficult. Importantly, the IMF and the World Bank have promoted an economic policy framework for economic development, often termed as the “Washington Consensus”, for many years but achieved limited success. The Chinese experience of emphasizing infrastructure development probably offers a useful lesson for other developing countries. Therefore, the Chinese government is interested in playing more important roles in reshaping the global economic system, through the newly created AIIB and the Belt & Road Initiative.

Third, infrastructure development is a crucial element of the Belt & Road Initiative, but the Initiative is much more comprehensive in scope, covering policy dialogue, infrastructure connectivity, unimpeded trade, financial support and people-to-people exchange. Given China's own experience in economic development, infrastructure will likely play a fundamental role in fostering regional cooperation and development, especially at the early stage of the Initiative. A large number of projects are already being considered to connect various sub-regions, including high-speed railroads, oil and gas pipelines and telecom and electricity links. Chinese institutions, including the Silk Road Fund, the China Development Bank (CDB) and many Chinese companies, will probably make large investment, alongside funding provided by international organizations such as the AIIB and the BRICS New Development Bank, and even the World Bank and the Asian Development Bank (ADB).

And, finally, the Belt & Road Initiative does provide important opportunities, both in terms of possibly creating a new economic pillar and contributing new policy thinking for economic development. But it also contains significant uncertainties and risks, such as management of geopolitical risks, international policy coordination and financial sustainability of cross-country projects. The jury is still out if this new Chinese initiative will help transform the world, as it is untraveled water for both China and the rest of the world. However, China's efforts trying to assist economic development in this underdeveloped region should be welcomed. But caution is warranted, in both financial and political areas, for this Initiative to become successful.

The rest of the article is organized as follows. The next section discusses persistent slowdown of Chinese economic growth and new challenges faced by the existing growth model, as important domestic motivation for the Belt & Road Initiative. The third section explains the international dimension of the Chinese motivation. As an emerging power, China has been a main beneficiary of globalization for the past decades but now is also keen to contribute to improving the existing system. And the fourth section details the general framework of the Belt & Road Initiative, including geographical coverage, priorities for cooperation and key policy mechanisms. This is followed by an assessment of the opportunities and risks brought about by the Initiative in the final section.

2. Sustaining China's economic growth

Between 1980 and 2015, China's real GDP grew by an average of 9.6% a year and its GDP per capita rose from US$200 to just over US$8000. But economic growth was also interrupted by several downturns, especially in 1989–90 and 1998–99. In 2012, GDP growth slowed again, to 7.7% from 9.3% a year earlier. This time, however, growth moderation was more persistent, staying at 7.7% in 2013 and edging down further to 7.4% in 2014 and 6.9% in 2015. Some analysts suggested that even this very low growth rate was overestimated.[1]

Analysts, investors and policymakers around the world all struggle to find out if this growth slowdown in China is cyclical or structural. In a recent study, Lin and his coauthor argue that current growth slowdown is mainly a cyclical phenomenon, driven down by weakening external demand (Lin & Zhang, 2015). Chinese exports used to achieve an average growth rate of around 25%. In 2015, the growth was negative. This clearly shows that Chinese growth is at least partly dragged down by a weaker global economy. Therefore, if the major economies of the world recover more strongly, Chinese growth could also improve. However, even Lin admits that China's growth potential is coming down as its development reaches a higher level.

Most experts, however, attribute this growth slowdown mainly to the structural factors. In a recent study, Perkins (2015) points out that the reasons for the slowdown are not yet well understood. On the supply side, this is happening because total factor productivity (TFP) is slowing down. On the demand side, a low share of household income in GDP has required the country to maintain an unusually high rate of investment in transport infrastructure and housing, but the rapid growth in both of these

[1] According to a report compiled by wallstreetcn.com, Capital Economics, Citibank, Conference Board and Lombard Street, respectively, estimated China's first-quarter GDP growth in 2015 at 4.9%, 4.6%, 4.0% and 3.8% (http://wallstreetcn.com/node/218370).

areas is coming to an end. And, finally, China has reached the point where the manufacturing share of GDP has peaked and will begin to decline as the economy becomes increasingly service based, but services seldom grow at the double-digit rates that manufacturing is sometimes capable of. In addition, other scholars also point to the on-going demographic transition, at least partly contributed by the four-decade long "one child policy", as an additional drag on economic growth (Cai & Lu, 2013).

Studies trying to estimate the growth potential generally confirm the trend of continuous slowdown (see Table 1), confirming the so-called "advantage of backwardness" effect. Both the World Bank (World Bank, 2012) and the Asian Development Bank (Zhuang et al., 2012) expect growth to fall to 5–6% by 2030. It is interesting to note that even the relatively conservative estimates are quite high, compared with international experience. If China is able to achieve such conservative performance, then it could still reach the high-income status within a decade or so.

Between the above-mentioned cyclical change and the trend slowdown, macroeconomic performance is also dominated by the battle between the old and the new industries. Economists often decompose an economy into three key parts — consumption, investment and export. China's economic growth during the past decades relied mainly on export and investment engines, while consumption was relatively weak. Behind these two growth engines are two rapidly expanding manufacturing industries. One part of the manufacturing industry, mainly labor-intensive and low value-added, underpinned export growth. And the other part, mainly heavy machinery and investment goods, facilitated investment expansion. These two industries formed the foundation of global manufacturing center and underwrote the so-called "China miracle".

Unfortunately, both of these engines are now losing steam. The traditional Chinese export industries are mainly built on cheap costs, which have risen dramatically for the past decade. For instance, migrant workers' wages have been growing by around 15% annually for >10 years. Such drastic changes in costs of labor and many other inputs are quickly putting many industries out of business. The coastal economy, which is more export-oriented, used to be the most dynamic part of the Chinese economy. Much of it is now in deep trouble. But in a way, this is a result of its past success — rapid economic growth lifts cost of production, which, in turn, erodes competitiveness of many industries.

The other part of the dynamic manufacturing sector, the heavy industries producing investment goods, is suffering from very high overcapacity rates. China's investment was only around 30% of GDP at the start of economic reform. It rose to close to 40% right before the global financial crisis. As a response to significant growth slowdown in 2008–09, the Chinese government adopted the so-called "4 trillion yuan stimulus package" focusing mainly on infrastructure projects. This quickly lifted the investment share to 48.5% in 2009. The unusual investment boom not only underpinned China's strong growth performance but also supported the so-called super-cycle of the global commodity market. However, the boom may be behind us — both moderating GDP growth and lowering investment share point to secular slowing of demand for investment goods.

At the same time, some new competitive industries are emerging in both industry and service sectors. China's household electronics industry is being rapidly upgraded. China also has a large number of companies that are globally competitive and even internationally leading, such as telecom equipment, large machinery equipment, 3D printers, unmanned aircrafts, internet services, etc. However, the new industries are not big enough to offset the falling old industries. This substitution of old industries by new ones will continue to push economic growth downward until the new industries are big enough to carry the Chinese economy forward. But this will take some time. And this is why we believe that, in the near future, any growth rebound will likely be temporary and short-lived.

Alongside the downtrend of growth is the weakening of productivity. Wu (2014) demonstrates recently that TFP growth decelerated steadily from 1.5% a year during 1992–2001 to 1.2% during 2002–2007 and further to 0.2% during 2008–2010 (Table 2). The Domar estimates of TFP fell even faster, from 5.0% to 2.3% and to −2.3%, during the same periods.

All these suggest that China's past growth model has run its course. It is no longer possible for China to continue to rely on exporting labor-intensive manufacturing goods and investing massively in fixed assets. It now requires a new model to support economic development, through building a large number of high-tech, high-value-added sectors that are competitive even at high costs. To a large extent, this is the typical "middle-income trap" challenge. And in order to continue strong economic growth, China needs to promote technological innovation and industrial upgrading, and to restructure the financial system and the state-owned enterprises (SOEs).

There is an important international dimension in this new transition. Since the beginning of economic reform, China has been a key beneficiary of the globalization. Exports of manufacturing goods to and imports of capital, technology and management skills from the relatively more advanced economies, such as North America, Western Europe and East Asia, played a key role in supporting Chinese economic growth. But the picture is changing quickly. Growth of the advanced economies already slowed significantly and would probably not recover to their previous levels in many years. As China's level of development rises quickly, it has become a competitor with many of these more advanced economies.

About three decades ago, the economies of Korea, Taiwan and Hong Kong faced the same "middle-income trap" challenge as domestic costs rose sharply. They relocated most of their labor-intensive manufacturing factories to the Pearl River Delta and went

Table 1
Some estimates of China's growth potential (%).

Economists/Institutions	Predictions
World Bank/Development Research Center (World Bank 2012)	2011–15: 8.6%; 2016–20: 7%; 2021–20: 5.9%; 2026–30: 5.0%
Asian Development Bank and Peking University (Zhuang, Vandenberg, & Huang, 2012)	2011–20: 8.0%; 2021–30: 6.0%
Cai and Lu (2013)	2011–20: 7.2%; 2016–20: 6.1%
Lin and Zhang (2015)	2011–30: 8.0% (actual performance: >7.0%)

Source: Compiled by the author.

Table 2
Estimates of total factor productivity of Chinese industry (%).

	1980–1991	1992–2001	2002–2007	2008–2010
Output	8.6	12.7	18.8	13.3
Labor	0.3	0.0	0.3	0.1
Capital	2.4	1.8	2.2	2.5
Material	6.7	9.4	15.1	10.5
TFP	−0.8	1.5	1.2	0.2

Source: Wu (2014).

on to upgrade domestic industrial structure. Now many of the labor-intensive manufacturing factories in China also need to relocate to low-cost places in order to maintain competitiveness. Some experts also argue that the Chinese excess capacities in steel, coal, shipbuilding and building materials may find new markets in many under-invested regions around the world.

The Belt & Road Initiative is a blueprint for China to explore cooperation with new economic partners. The countries covered by this Initiative are mostly low-income economies. They have greater potentials to grow rapidly if proper conditions are put into place. They could also form more natural cooperation relations with China, as new destinations of both Chinese investment and exports. In other words, this vast underdeveloped region, sandwiched between the vibrant West European and East Asian economies, has the potential of turning into a new growth pillar of the world economy, creating new markets for China's exports and outward FDI (Tian, Yu, & Zhang, 2016).

3. Eyeing greater international economic influence

When China started economic reform in the late 1970s, it was a small, under-developed and closed agrarian economy. Its economic success in the following decades benefited greatly from an open international economic system. Its export share of GDP reached 37% in 2007. And for many years, China was the largest recipient country of FDI. Today, China is already a large country economy in the world market — whatever China buys it becomes more expensive, and whatever China sells, it becomes cheaper. Clearly, China has been a major beneficiary of the globalization process.

The existing international economic system, which was first established in 1944, contains three key features. First, the United States is a dominant leader in designing and enforcing the international economic rules. Second, the US dollar is the cornerstone of the international monetary system, both before and after breakdown of the Bretton Woods System (BWS). And, finally, three international organizations, the IMF, the World Bank and the World Trade Organization (WTO), are responsible for maintaining international economic order.

For more than half of a century, this system facilitated steady growth of the global economy. Recently, however, there have been growing calls for reform of the international economic system. Two important events, in particular, have strengthened these demands. The first has been the ascendancy of the emerging market economies, which naturally calls for some of these to move from the peripheries to the center stage of international economic decision-making. And the second was the subprime crisis in the US, which has raised serious questions about the future international roles of the US and the US dollar.

The current international economic system is modeled mainly on the economic systems of the developed countries, especially that of the US. It promotes free trade, free investment, free markets and strict market disciplines. But the latest subprime crisis revealed some problems with the US system. Economists have since raised questions about effectiveness of not only the US monetary policy and financial regulations but also the international reserve system. While there may not be consensus about what should happen next, there is general agreement that this system needs to be adapted to suit the new global economic and market conditions.

The world economy is indeed very different today from the one more than seven decades ago when the current system was first set up. Toward the end of the Second World War, most developing economies suffered from serious and widespread poverty problem. They received financial assistance for, and policy advice on, poverty alleviation and economic development from international organizations and developed countries. Today, however, the emerging market economies are already important players in the world economy. The five BRICS countries, Brazil, Russia, India, China and South Africa, account for 42% of the world population and 18% of the global GDP.

During the early decades of economic reform, Chinese leaders mostly followed the principles set by Deng Xiaoping — “to keep a low profile in handling international affairs”. But this becomes increasingly difficult. China is already the second largest economy in the world according to market-based GDP measure. It now regularly contributes one-third of world GDP growth. China's international economic influences were most clearly demonstrated in international markets for labor-intensive manufactured goods and raw materials and commodities. The year 2015 saw further magnification of the Chinese influence — the Fed quoted slowdown of Chinese growth as an important factor for its policy decision, while volatilities in the A-share market and renminbi exchange rate triggered shock waves around the world.

It is not surprising that there are some tensions between China and the existing powers of the international economy. The first type of tension relates to potential conflict between existing and rising powers. As China is likely to overtake the US to become the largest economy in the world in the coming decade or two, suspicions of the other party's intensions are common on both sides. In particular, transitions of world leadership from one nation state to another in the past were often resolved through wars. Although such suspicions have not led to actual conflicts between China and the US, they could cause difficulties for cooperation in the international economic system.

The second type of tension is ideological in nature. Unfortunately, many in the West still view China as a typical communist country. Such perceptions deepened in the wake of the global financial crisis as the State and state-owned enterprises (SOEs) gained more power over economic activities in responding to the crisis. As a result, many foreign and domestic experts are confused about the future direction of Chinese economic reform, and in particular as to whether China will move toward deepening market-oriented reform or reverse back to state control of the economy. These changes could also reduce the trust between China and the rest of the world.

The third type of tension is typical between advanced market economies and emerging market economies with regard to the ideal economic system. Most advanced market economies believe in a free market system with limited state intervention in economic activities, although clearly to a lesser extent in much of Europe than in the US. During the past decades, most emerging market economies have adopted market-oriented reforms and consequently achieved remarkable economic growth. Many of them, however, remain cautious about completely liberalized markets, including the full liberalization of their capital accounts, especially with regard to short-term capital flows. Many successful East Asian economies do not rigorously follow the "Washington Consensus" policies in many respects.

A new round of reform of the international economic system started following the global financial crisis, which also made important progresses, including appointing Chinese and citizens from other developing countries to senior positions at the World Bank and IMF, changing the quota shares of the IMF, etc. But changes have been slow and difficult. The US Congress approved the IMF reform bill in December 2015, five years after the bill was originally proposed. But the US is not giving up veto power at the IMF and the US and Europe retain their privilege in appointing the heads of the World Bank and the IMF, respectively.

China is a reluctant latecomer in the game of international economic governance. To a large extent, China's small role in international economic governance does not reflect its current relative economic weight, especially after the size of the Chinese economy has exceeded that of the Japanese economy. By then, it became clear to China and the world that it was no longer possible for the elephant to hide behind trees. International leaders often called for China to take greater responsibilities. Therefore, China started to play a more active role in international economic affairs, in arresting the trend of global recession, participating in the G20 Summits, reforms of the IMF and the international financial system, etc.

China's active participation in international economic architecture has also caused some concerns in the West. There are doubts among some if China plans to build a parallel system that competes with the America-led institutions. In December 2010, the then State Councilor Dai Bingguo published an article to articulate in more detail China's long-term policy positions in international affairs (Dai, 2010). Specifically, he rejected the speculation that China may want to seek hegemony once it becomes developed. He reiterated that China wants to work within the existing framework, and this principle is applicable to both foreign policy and economic cooperation.

From the Chinese perspective, however, the intentional exclusion of China from the Trans Pacific Partnership (TPP) negotiation is an unhelpful development. President Obama explicitly said at the conclusion of the negotiation that the West would not let China write a new version of globalization standard, although no party has ruled out the possibility of China joining TPP at a later stage. In this sense, the Belt & Road Initiative, alongside the AIIB, may represent the Chinese contribution to a new international economic system and also as self-defence against its possible eventual exclusion from TPP.

The Belt & Road Initiative is more limited in geographical coverage or policy scope than many of the existing international arrangements discussed above. But China's intention is clear — to assert greater influence on international economic governance, starting from a specific regional trade and investment initiative.

3.1. Framework of the Belt & Road Initiative

The purpose of the Belt & Road Initiative is to promote regional economic development, through creation of win-win cooperation and joint prosperity. It intends to increase understanding and trust, and to strengthen communication and friendship among countries in the region. It follows four principles: (1) openness and cooperation; (2) harmony and inclusiveness; (3) market-based operation; and (4) mutually beneficial and win-win for all countries. Compared with other forms of international economic cooperation such as WTO and G20, the Belt & Road Initiative is open in nature and does not exclude any interested parties. Chinese officials explicitly said that countries like Japan and Korea are welcome to participate in the Initiative. And the market-based rule means that, while the Initiative was a policy proposal, implementation of it has to make commercial sense. It is not international aid by the Chinese government.

Geographically, the Silk Road Economic "Belt" is consisted of three general routes. The first route is from China through Central Asia and Russia to Europe (Baltic Sea). The second route is from China through Central Asia and West Asia to the Persian Gulf and the Mediterranean. And the third route is from China through Southeast Asia and South Asia to the Indian Ocean. And the Maritime Silk "Road" runs from China's coastal ports through the South China Sea to the Indian Ocean, extending to Africa and Europe; and also from China's coastal ports through the South China Sea to the Pacific Ocean. The China–Pakistan and Bangladesh–China–India–Myanmar economic corridors will also be closely coordinated with the "Belt" and the "Road" economies.

According to this narrow identification, this Initiative reaches at least 60 countries, which account for 64% of the world population (4.4 billion people) and 30% of global GDP ($21 trillion). Sandwiched between the East Asian economy and the developed economy of Europe, this underdeveloped "Belt & Road" region crossing three continents has massive potential for economic development.

The "Belt" will rely on major cities along the route to serve as pillars and economic and trade zones to serve as platforms to create a new Eurasian land bridge and the economic cooperation corridors between China–Mongolia–Russia, China–Central Asia–West Asia, and Indo-China Peninsula. The "Road" will rely on major ports to jointly build unimpeded, safe, and efficient logistics routes.

The central roles played by infrastructure in international cooperation and development are the most important feature distinguishing the "Belt & Road Initiative" from many other international cooperation mechanisms. This is important because significant investment in infrastructure facilitated rapid economic growth during China's reform period and is one of the key contributors of the China miracle. It is also important because most of the "Belt & Road" countries substantially under-invest in infrastructure. Reasons for underdeveloped infrastructure vary across countries — some are constrained by financial support, and others simply lack planning, building and coordinating capabilities.

In this sense, the Belt & Road Initiative fills an important gap in the existing international economic architecture, namely, helping build infrastructure projects for the developing and developed world. In early 2014, the IMF called for more investment in infrastructure around the world, as part of the efforts to stabilize economic growth. It did not go much further than that because of lack of funding support. According to the ADB estimation, Asia's infrastructure needs may reach $730 billion a year by 2020 (Asian Development Bank and Asian Development Bank Institute, 2009). However, ADB is only able to provide $10 billion annually. The newly established AIIB could help reduce that funding gap. Hopefully, the "Belt & Road Initiative" should be able to mobilize more finance for infrastructure development, from both public and private institutions. There is already a large number of projects under consideration or even planning (Table 3). These fall mainly into three areas: cross-border high-speed railroads, cross-border oil/gas pipelines and cross-border telecom and electricity links.

But the "Belt & Road Initiative" is much more comprehensive than just infrastructure development. It contains the following five priority areas for cooperation:

3.2. Policy dialogue

The Initiative intends to create a multitier inter-governmental mechanism for macro-policy dialogues, deepen shared interest, reach new consensus and promote political trust. The purpose of all these is to provide policy support for cooperation in large projects through sufficient exchanges about development strategies, action plans and concrete measures.

3.3. Infrastructure connectivity

The Initiative aims at strengthening (meaning?) plans for basic infrastructure, achieving convergence of technical standards and gradually forming an infrastructure web to link the sub-regions in Asia, Europe and Africa. These plans should also promote low-carbon and green economy, taking into full account the effect of climate change.

3.4. Unimpeded trade

The Initiative plans to rigorously research solutions for investment and trade facilitation, eliminate trade and investment barriers, and create free trade zone among countries in the region. It will also strengthen bilateral investment treaty, promote integrated process of R&D and regional industrial compatibility, and facilitate formation of cross-country industry value chains.

3.5. Financial support

Financial cooperation and support is a key pillar of the Belt & Road Initiative. The Initiative will work on a wide range of cross-border financial policy agendas, some of which are old while others are new. These include currency convertibility and settlement, Asian bond market, cross-border issuance of RMB-denominated bonds, AIIB and BRICS New Development Bank, Silk Road Fund and China-ASEAN Banking Consortium. Through these collaborative efforts, the Initiative hopes to promote stability of Asian monetary, investment and credit systems, the Initiative.

3.6. People-to-people exchange

Friendly cooperative spirit is a part of the Silk Road culture and should be the foundation for success of the new Initiative. The Initiative also intends to set up some forms and mechanisms for cultural, academic and talent exchanges, training, media cooperation,

Table 3
Cross-border projects of the Belt & Road Initiative.

High-speed railroads	Eurasian High-speed Rail (Starting from London, through Paris, Berlin, Warsaw, Kiev, to Moscow where it will separate into two branches, one into Kazakhstan, and the other into Russia's Far East, and then into the North Eastern Region in China)
	Central Asian High-speed Rail (Starting from Urumqi, through Uzbekistan, Turkmenistan, Iran, and Turkey and arriving in Germany)
	Pan-Asian High-speed Rail (Starting in Kunming toward Myanmar, Laos, Vietnam, Cambodia, Malaysia and arriving in Singapore, another line through Thailand)
Oil/gas pipelines	Central Asian natural gas pipeline line (passing through China, Kazakhstan, Uzbekistan, etc)
	China–Eastern Russia Line natural gas pipeline
Telecom and electricity links	China–Myanmar, China–Tajikistan, China–Pakistan cross-border communication lines
	China–Russia power and communication lines

Source: Compiled by the author.

and youth and women's dialogues. Cross-country tourism, disease control, joint research centers for laboratories and political parties and parliamentary exchanges are also important means for enhancing mutual understanding and trust.

If significant progresses are made in all these priority areas, then the Belt & Road Initiative could represent another comprehensive model for international economic cooperation. However, apart from its emphasis on infrastructure development, it is not yet clear how such a model differs from the other international initiatives. In China, many regions are already actively exploring ways to strengthen domestic integration and international cooperation. The Southwest region strives to become an important gateway connecting both the "Belt" and the "Road". The Northeast and Northwest regions try to set up efficient transport links with Central and West Asia and Russia. And the East coastal region actively develop its air, sea and land transportation facilities to consolidate its frontier position of the new "Road".

4. A preliminary assessment of the new initiative

The Belt & Road Initiative is probably the most ambitious Chinese international policy initiative in history. Although historians found that China was the largest economy in the world until the industrial revolution, it was mainly because of its big size of the population, not high per capita income. China rarely played any active international economic roles beyond its border.

China's new interest in international economic leadership, and formulation of the Belt & Road Initiative, is probably triggered by three factors. One, as Chinese growth slows continuously, the past development pattern, including reliance on international trade and investment with mature economies, is running out of steam. China needs to find new ways to support continued strong economic growth through reconfiguring its domestic and international economic models. Two, during much of the reform period, China maintained a low profile in international affairs. But it is now a major emerging power, and the elephant could no longer hide behind the trees. The international community also constantly calls for China to take greater responsibilities in international economic system. And, three, the existing international economic system is no longer compatible with the new reality of a world economy where emerging market economies already play important roles. But reforms of the international organizations are quite difficult. And the conventional policy doctrines pursued by international organizations have not been very successful in the developing world, including the "Belt & Road" region.

If successful, the Belt & Road Initiative could generate important opportunities for the world economy. On the one hand, the Initiative has the potential of turning the economically underdeveloped and politically unstable "Belt & Road" region into a new vibrant pillar for the world economy. This would not only significantly increase living standard for 64% of the world population residing in this region but also become a new segment of the global supply chain, contributing to world economic growth. This should certainly benefit Chinese economic growth. Some market analysts estimated that new investment associated with the Belt & Road Initiative alone could have raised Chinese GDP by 0.25% in 2015.[2]

On the other hand, the Initiative also offers some new thinking about international economic development policy. The Initiative follows the principles of openness, cooperation based on equality and mutual benefits. This is very different from the practice of international organizations providing policy advices to developing country governments. The emphasis on infrastructure for economic development, especially solutions for its execution, should provide valuable supplement to the existing international economic system. The implicit belief of the Belt & Road Initiative that best policies and institutions may be different for different countries at different stage of development also deserve some serious consideration when reforming the existing system.

It is important to point out that China has no intention of building a parallel international economic system, competing with the one led by the US. China has been a key beneficiary of globalization in the past several decades and has a great stake in continuing that open and integrated international system. But, as widely recognized, the existing system needs to be reformed to reflect the new economic weights and policy briefs of the emerging market economies. Advanced and emerging economies should work together to build a better system. And China and other major emerging market economies should have greater voices in the decision-making process. In this sense, the intentional exclusion of China from the TPP negotiation was an unfortunate development.

Despite all the benefits and opportunities discussed above, it is too early to make any assessment of the likely outcome of the Belt & Road Initiative, since it has barely started. Several risk factors, however, will determine success or failure of the Initiative and, therefore, deserve close watch.

First, there is no explicit coordination mechanism. Although some existing organizations and arrangements, such as the Shanghai Cooperation Organization (SCO), may serve the purpose of dialogue and exchange, heavy reliance on bilateral coordination generates flexibility but sacrifices consistency. For instance, it might be difficult to ensure same standards of procedure, efficiency and safety across all countries along the cross-border high-speed railroads. Although the Initiative contains five priority areas for cooperation, most of the priorities are difficult to enforce, without an effective coordination mechanism. And it remains to be seen if international cooperation without a minimum joint policy framework or principle could be fruitful.

Second, there exist risks of clashes of political values across countries. The 60 countries in the "Belt & Road" region have a very rich mix of political regimes and economic systems, including socialism, capitalism and others. Traditionally, Chinese foreign policy follows the principle of not interfering into other countries' domestic affairs. It is not yet clear if politics is able to stay completely out of the game of international economic cooperation, especially when it involves people-to-people exchange. It is at least advisable that China try to avoid leaving the impression of exporting the so-called "China model" through the "Belt & Road Initiative".

[2] "The Belt & Road Initiative may accelerate Chinese GDP growth by 0.25% in 2015", http://www.jiemian.com/article/251588.html.

Third, there are already signs of tension around China's export of its excess capacity. One of the counterproductive arguments made by some Chinese experts is that the Belt & Road Initiative should help absorb China's massive excess capacity. While there is some truth in it, dumping excess capacity to the "Belt & Road" countries could spoil the entire game. Taking steel industry as an example, China's current production capacity is 1.1 billion tons. Of this, at least 300–400 million tons, which are greater than the production capacities of the US and Japan combined, are excess capacity. Recent increase in Chinese steel export already pushed down international prices and caused anxieties in many foreign countries.

And, fourth, financial sustainability of cross-country projects may be difficult to achieve. Even in the narrowest sense of the Belt & Road Initiative, i.e., building infrastructure to facilitate economic development, commercial viability is crucial. The Chinese government and companies do not have a lot of experiences running cross-border projects. In 2015, Chinese companies made about $100 billion direct investment in foreign countries, about 15% of which went to the "Belt & Road" countries. Most of the Chinese outward FDI projects, however, are not profitable. It is difficult to run a project in a foreign country, given different cultures, legal systems and other institutions and policies, let alone managing cross-border projects running through so many countries with different political systems and social briefs. The Chinese government should make every effort to prevent the Belt & Road Initiative from turning into an international version of its early "Go West" policy, under which, lots of infrastructure projects were built in the country's Western region without meaningful financial returns.

In summary, the Belt & Road Initiative represents one of China's major international initiatives, alongside the AIIB and the BRICS New Development Bank. This is certainly consistent with China's new status as an emerging power. The Initiative is an important one, which has the potential of transforming the world economy. But barriers to successful implementation are also high in areas including politics, policy coordination and project management. But, at a minimum, China's interest in improving infrastructure connectivity for a vast underdeveloped region should be appreciated and encouraged.

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